
24.14 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 24.2
- 2) See Section 24.2
- 3) See Section 24.3

Check Your Progress 2

- 1) See Section 24.4
- 2) See Section 24.4
- 3) See Section 24.5
- 4) See Sub-section 24.6.1

Check Your Progress 3

- 1) See Sub-section 24.7.1
- 2) See Section 24.8
- 3) See Section 24.8

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APPENDIX 24.1

Table 1: Share of Manufacturing Sector to Total GSDP

State	2004-05	2011-12	2018-19	Growth 2011-12 to 2018-19
	2004-05 Price	2011-12 Price		
Andhra Pradesh	11.5	13.4	10.3	3.3
Assam	10.5	10.8	15.3	12.9
Bihar	5.6	5.9	8.8	12.3
Chhattisgarh	21.9	15.4	14.5	4.7
Delhi	7.3	5.5	5.1	6.8
Gujarat	27.3	25.5	32.6	13.8
Haryana	21.4	17.9	21.0	11.1
Himachal Pradesh	11.5	24.8	29.9	10.1
Jammu & Kashmir	6.1	10.2	8.8	3.2
Jharkhand	33.7	20.0	19.8	5.8
Karnataka	18.4	16.0	16.5	9.7
Kerala	8.6	9.4	11.8	9.8
Madhya Pradesh	11.1	12.1	11.1	6.1
Maharashtra	20.6	19.2	20.3	7.7
Odisha	12.1	17.8	20.5	9.6
Punjab	15.1	14.1	13.7	5.5
Rajasthan	12.5	15.3	11.8	2.6
Tamil Nadu	19.8	20.2	22.0	8.4
Telangana	13.2	17.3	12.3	2.8
Uttar Pradesh	13.5	12.1	16.3	11.3
Uttarakhand	12.7	37.8	37.2	7.4
West Bengal	11.1	13.4	14.4	6.3
India	15.9	16.2	17.6	8.5

Source: www.mospi.gov.in

Table 2: Share of Service sector

State	2004-05 Price		2011-12 Price		Growth Rate 2011-12 to 2018-19
	2004-05	2011-12	2011-12	2018-19	
Andhra Pradesh	48.5	53.7	37.7	38.8	7.7
Assam	46.9	55.4	44.0	38.7	5.3

Bihar	54.7	56.6	54.3	57.7	7.1
Chhattisgarh	34.4	37.2	32.5	34.5	6.5
Delhi	80.5	88.2	73.6	73.6	8.0
Gujarat	43.9	46.7	32.9	30.8	8.8
Haryana	44.0	54.5	41.3	44.0	9.6
Himachal Pradesh	36.1	42.6	37.2	38.3	7.5
Jammu & Kashmir	43.7	54.1	52.0	53.4	5.8
Jharkhand	32.9	43.1	35.5	39.6	7.5
Karnataka	51.0	55.3	51.8	55.9	10.4
Kerala	59.6	68.0	53.1	56.0	7.1
Madhya Pradesh	45.2	47.1	37.6	37.6	7.4
Maharashtra	59.6	62.3	45.7	49.4	8.1
Odisha	42.4	48.6	36.7	36.8	7.5
Punjab	42.6	47.6	41.7	45.6	7.2
Rajasthan	43.8	45.9	37.2	40.7	7.9
Tamil Nadu	57.2	61.0	46.6	46.3	7.0
Telangana	53.8	58.5	49.4	57.3	10.2
Uttar Pradesh	47.0	54.0	42.9	44.5	7.3
Uttarakhand	49.5	52.1	31.8	35.4	9.3
West Bengal	54.4	63.6	47.8	50.8	6.1
India	51.4	56.7	44.8	46.8	7.9

Source: www.mospi.gov.in

Table 3: Basic Infrastructural Facility in School, 2016-17

State	Single Class Room School (%)	Single Teacher School (%)	Girls Toilet (%)	Drinking Water (%)	School with Electricity (%)	Pupil-Teacher Ratio
Andhra Pradesh	13.0	14.1	99.7	94.8	93.2	19
Assam	18.5	7.2	79.8	87.7	20.2	18
Bihar	1.8	4.4	87.3	94.8	41.4	45
Chhattisgarh	2.2	5.6	99.5	99.3	69.5	20
Delhi	0.1	0.1	100.0	100.0	99.9	21
Gujarat	1.1	2.0	99.9	100.0	99.9	27
Haryana	0.8	3.9	99.4	99.9	97.3	18

Himachal Pradesh	3.3	6.7	99.9	100	91.6	10
Jammu & Kashmir	6.9	6.3	93.7	92.5	31.1	10
Jharkhand	0.8	17.1	97.9	96.1	31.3	32
Karnataka	3.3	8.3	96.1	98.5	95.6	27
Kerala	1.9	2.2	97.9	99.7	96.4	16
Madhya Pradesh	3.1	13.3	95.0	96.4	27.2	23
Maharashtra	6.8	3.1	98.2	99.6	85.4	22
Odisha	9.2	2.4	95.8	99.8	33.1	19
Punjab	1.8	3.2	99.4	100	99.9	15
Rajasthan	2.7	12.4	99.0	97.5	58.3	18
Tamil Nadu	0.0	1.9	99.7	100	99.3	16
Telangana	9.3	12.6	96.3	99.2	87.9	21
Uttar Pradesh	0.7	5.6	99.6	98.7	41.5	31
Uttarakhand	1.2	8.2	95.4	96.2	72.5	15
West Bengal	5.1	4.2	97.6	98.4	79.1	21
India	4.3	7.2	96.5	97.1	59.8	23

Source: DISE www.dise.in

Table 4: Number of medical institutions per Million Population in Rural Areas

State	Sub Centre*	PHCs*	CHCs	Doctors in PHCs	ANM Sub center & PHCs
Andhra Pradesh	216	33	4	50	343
Assam	159	32	6	66	395
Bihar	95	18	1	20	230
Chhattisgarh	244	37	8	15	320
Gujarat	253	41	10	60	253
Haryana	151	22	7	31	267
Himachal Pradesh	319	89	13	74	282
Jammu and Kashmir	325	67	9	99	527
Jharkhand	138	11	6	12	227
Karnataka	258	56	5	56	224
Kerala	458	72	19	130	638
Madhya Pradesh	174	20	5	18	201
Maharashtra	166	28	6	46	339
Odisha	187	36	11	23	257
Punjab	166	23	5	32	254

State	Sub Centre*	PHCs*	CHCs	Doctors in PHCs	ANM Sub center & PHCs
Rajasthan	236	36	10	34	270
Tamil Nadu	239	39	11	49	274
Telangana	142	19	3	36	237
Uttarakhand	251	35	9	37	248
Uttar Pradesh	121	17	4	18	169
West Bengal	165	14	6	13	302
India/Total	179	28	6	34	266

*Including health and wellness Centres

Source: Rural Health Statistics 2018-19, Ministry of Health and Family Welfare

Table 5: State-wise Value and Rank of Human Development Index, 1990-2018

State	1990		2000		2018	
	Value	Rank	Value	Rank	Value	Rank
Andhra Pradesh	0.424	17	0.478	18	0.650	14
Arunachal Pradesh	0.437	16	0.502	16	0.660	13
Assam	0.411	18	0.488	17	0.614	17
Bihar	0.378	23	0.436	23	0.576	23
Chhattisgarh	0.562	4	0.564	7	0.613	18
Gujarat	0.470	12	0.527	13	0.672	11
Haryana	0.467	13	0.549	10	0.708	5
Himachal Pradesh	0.479	10	0.589	5	0.725	3
Jammu and Kashmir	0.493	8	0.528	12	0.688	8
Jharkhand	0.562	4	0.564	7	0.599	21
Karnataka	0.444	14	0.518	14	0.682	10
Kerala	0.544	6	0.598	4	0.779	1
Madhya Pradesh	0.406	19	0.460	21	0.606	19
Maharashtra	0.493	8	0.558	9	0.696	7
New Delhi	0.577	3	0.664	1	0.746	2
Odisha	0.400	21	0.458	22	0.606	19
Punjab	0.496	7	0.578	6	0.723	4
Rajasthan	0.403	20	0.469	19	0.629	16
Tamil Nadu	0.471	11	0.542	11	0.708	5
Telangana	0.622	2	0.627	3	0.669	12
Uttar Pradesh	0.397	22	0.463	20	0.596	22
Uttarakhand	0.629	1	0.630	2	0.684	9
West Bengal	0.440	15	0.505	15	0.641	15
India	0.431		0.498		0.647	

Source: Different reports UNDP

UNIT 25 INGREDIENTS OF GOOD GOVERNANCE

Structure

- 25.0 Objectives
- 25.1 Introduction
- 25.2 Governance
- 25.3 Good Governance
- 25.4 Variants and Versions of Good Governance
- 25.5 Dimensions of Good Governance
- 25.6 Governance in India
- 25.7 Let Us Sum Up
- 25.8 Term-end Exercises
- 25.9 Key Words
- 25.10 References
- 25.11 Answers or Hints to Check Your Progress Exercises

25.0 OBJECTIVES

After going through this unit, you will be able to:

- explain the meaning of governance and its importance;
- narrate the evolution of definition of good governance;
- discuss the features of good governance;
- examine the dimensions of good governance; and
- describe the state of governance in India.

25.1 INTRODUCTION

Good governance is a phrase that emerged at the close of 1980s in a World Bank report but got soon incorporated and developed by other international development aid and cooperation agencies such as the United National Development Programme (UNDP), the Organisation for Economic Cooperation and Development (OECD), and the International Monetary Fund (IMF). In view of some scholars it was a shift in the paradigm from ‘getting market right’ to ‘getting institutions right’ in the approach of aid agencies.

A study by a World Bank team in the late 1980s on countries in Sub-Saharan Africa came to a conclusion that, among the reasons for non-success of development projects funded by multilateral organisations was the lack of good governance. It may be recalled that during 1980s and to some extent in 1990s international aid agencies had attached conditionalities in terms of stabilisation policies and structural adjustment programmes while providing

aid, which entailed increase in scope of private sector and market along with curtailment of government and public sector. But the results of these reforms were found counter-productive in certain cases. By the end of 1990s, most of the international development literature went on to emphasise the need to end mal-governance in developing countries.

Naturally, debate on good governance was shaped by these international organisations, such as the World Bank, the IMF, the OECD and the UNDP, which have been major players in international development aid and cooperation. A former UN Secretary General, Kofi Annan went to the extent of saying that ‘good governance is perhaps the single most important factor in eradicating poverty and promoting development’. Following this lead, an UN agency for HABITAT asserted that ‘it is not just money or technology, or even expertise, but also good governance that makes the difference...’ which is sometimes stated as ‘...neither money, nor technology, nor even expertise, but good governance that makes the difference.’

Slowly and steadily, national governments, sub-national governments, and other vocal sections along with international aid and non-aid agencies extended the idea of good governance to all public spheres and some private spheres rather than just development projects.

What makes the difference when emphasis is put on governance rather than government? The proponents of good governance assert that governance is not the monopoly of the government. There are other actors and agencies in the arena of governance of public affairs, which in their reckoning are both private sector and non-governmental civil societies and there could be a partnership between public and private and between government departments/organisations and non-government organisations – which is more than contractual. Nevertheless, what you have to note is that the agenda across the spectrum continues to be neo-liberal in content and approach.

We can recall Adam Smith in 18th century and Henry Thoreau in 19th century who had broadly suggested that the government should hold minimum role or that government is the best, which governs the least. Prime Minister Narendra Modi extended the idea in recent years by suggesting the phrase ‘minimum government and maximum governance’. But all such references are limited to the role of government. The idea is that societal affairs are not to be dealt with by the government only. They are never dealt with only by the government. However, the idea promoted by international development aid agencies is also to diminish the scope of government, nay, the State. Yet, there are agencies like United Nations Economic and Social Commission for Asia and the Pacific (UNESCAP) which assigns the responsibility to the government to promote good governance as its major responsibility.

While accepting the importance of good governance, most agencies decided to fill the content and their approach to development practice generally getting guided by their respective mandates and interests. While there is a lot of convergence, there is significant divergence. Scholars and others also proposed alternative phrases such as Humane Governance, Smart

Governance, Public Governance, or Democratic Governance – articulated somewhat differently.

With this in background, in this unit we propose to discuss different ideas of governance and good governance, and deliberate on the variants, dimensions and ingredients of good governance. In addition, a modicum of governance in India will also be covered.

25.2 GOVERNANCE

The concept of governance is as old as human civilisation. But the term has become fashionable in the last few decades. Thanks to international donor agencies which found bad governance as the root cause of all evils and insisted on reforms in governance as a major condition to providing aid, the term acquired a new status in international development literature.

Governance surely goes beyond the activities of government. For instance, there is no world government yet there exists some kind of a global governance in many areas, for example, environment (UNEP), labour affairs (ILO), and economy (WTO for trade and investment)—purportedly for good governance in their respective spheres. Further, local government in an urban area may be a municipal board but local governance allows existence and operation of a local development authority outside the municipal board. Outside the government, there exist Industry Chambers, Commerce Chambers, Citizens Forums, Trade Unions, Farmers' Unions, Professional Associations (Medical Council, Chartered Accountants) Passengers Associations, etc. These may well now be part of governance.

One can well imagine that public affairs predate the invention of State and thus, governance predates government. It implies that a society is founded on the rules it forms and follows in conduct of its affairs. Governance is thus making of rules and making members follow those rules. As society becomes complex, making of rules and ensuring that the rules are followed by its members and groups also becomes complex. As far as a country is concerned, government is a part, an essential part, of a State while governance covers practically all public (and some private) affairs of the State and thus involves non-state agencies. Governance has now become so popular a word that it is used in several other contexts so much so that it has been asserted that governance is important to all organisations and entities, including corporates, non-governmental organisations (NGOs), and international relations.

In the context of a country, one finds a wide variety of definitions of governance. One can appreciate that government decisions are influenced by political parties, lobbies, chambers, advocacy groups, think tanks, and the media. Governance may therefore be defined as the dispensation by which rules, norms and actions are structured, sustained, and regulated. Governance may assume several forms, driven by different motivations and may produce different results. For instance, there may be a governance system whereby citizens decide as to who should become a part of government. The Commission on Global Governance (CGG) therefore puts, in 1995,

governance as ‘the sum of the many ways individuals and institutions, public and private, manage their common affairs’.

Some scholars, though drawing from the literature from international aid agencies, hold that governance comprises the mechanism, methodology and institutions which help the citizens and groups to protect their interests. Others articulate governance as institutionalised modes of coordination through which collectively binding decisions are adopted and implemented irrespective of hierarchical relationship. One can well see that there exists a minimal normative dimension since it refers to institutionalised modes of coordination that intentionally aim at the provision of certain collective goods rather than serving individual self-interests. A variation may suggest governance to cover processes, mechanisms, and practices that steer decision-making and implement those decisions.

It would be interesting to see evolution of the concept of good governance within an agency itself. The World Bank which started identifying good governance as the manner in which power is exercised in the management of a country’s economic and social resources. A little later it suggested governance as the exercise of political authority and the use of institutional resources to manage society’s problems and affairs. Still later, it equated good governance with ‘(i) the form of political regime; (ii) the process by which authority is exercised in the management of a country’s economic and social resources for development; and (iii) the capacity of governments to design, formulate, and implement policies and discharge functions’. By 2002, good governance was to include ‘all rules, enforcement mechanisms and organisations’. In between, in 1996, the initiators of the Worldwide Governance Indicators (WGI), as they admit, struck a middle path, by defining it as ‘the traditions and institutions by which authority in a country is exercised’. Bank could not yet hold back from recommending to foster more local ownership and decentralisation as well as the encouraging of civil society institutions and participatory approaches. Thus, the bank seeks to promote effective government within good governance.

International Monetary Fund (IMF) proposed to promote ‘good governance in all its aspects, including ensuring the rule of law, improving the efficiency and accountability of the public sector and tackling corruption’. These are considered essential elements of a framework within which economies can prosper. Around the same time, the OECD (organisation for economic cooperation for development) came to accept governance as ‘the use of political authority and exercise of control in a society in relation to the management of its resources for social and economic development’. OECD referred to good governance as the rule of law, efficient public sector management, controlling corruption and reducing excessive military expenditures. It did not ignore the political dimension and paid attention to the linkages between good governance and political principles, such as participation, human rights and democratisation. The OECD suggested that the democratic elements of good governance were not only a prerequisite for development, but also as ‘values in their own right’. Good governance has

thus to have not only effective government but effective and democratic governance.

The UNDP, an UN agency with development concerns, came to dwell on the issues of good governance in 1997 and 1998. Taking off from the World Bank's conception, it viewed governance as 'the exercise of economic, political and administrative authority to manage a country's affairs at all levels' and thus does not ignore political dimension. Rather, it further explicates political dimension by holding that governance 'comprises the mechanisms, processes, and institutions through which citizens and groups articulate their interests, exercise their political rights, meet their obligations and mediate their differences'. Thus, the UNDP seeks to promote the interaction among these actors in order to reach sustainable human development. However, a regional UN agency, the UNESCAP chooses to define governance as a process – the process of decision making and the process of implementing decisions – without mentioning mechanisms and institutions. Thus, definitions of general governance for a country cover from narrow to broad canvass and differ from author to author.

There are others who go beyond the country level governance. For example, the UN Global Compact suggested that governance is the systems and processes that ensure the overall effectiveness of an entity– whether business, government or multilateral institution. Governance concerns after all framing and operation of rules.

Thus, governance presupposes existence of institutional arrangements whether traditional, formal or informal and exercise of power bestowed on these institutions to make decisions and implement them, irrespective of the field, level, and organisation. Yet, one can also talk of meta-governance that is 'governing of governing'. One can attribute different meanings to the phrase of meta-governance, depending on the context, like the Constitution of a Country or value system behind customary laws, or the principles behind practices.

Check Your Progress 1

- 1) Differentiate between governance and government.

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- 2) How do international agencies differ in conceptualising governance?

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